

An Intelligent Energy Consumption Optimization Model for Factories

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Abstract—Industrial factories are one of the largest consumers of electrical energy in the world but most control. Traditional energy management uses manual audits and periodic inspections, which are reactive measures that cannot stop waste in real time. This paper proposes an intelligent, data-driven Energy Consumption Optimization Model (ECOM) for industrial contexts. The proposed framework consists of an IoT-based real-time sensing, a machine-learning forecasting pipeline with four benchmarked algorithms (Linear Regression, Random Forest, Gradient Boosting and Neural Network), and an Optimization Recommendation Engine (ORE) which translates the demand forecasts into actionable machine-scheduling and load-balancing directives. When examined using 8,640 machine-hour entries of three separate factory units, the Random Forest algorithm exhibits the most accurate predictive performance ($R^2 = 0.93$, $RMSE = 0.14$). Simulated optimization reveals a possible reduction of 21% in the total amount of energy used per day, 71% in unnecessary downtime of machines, and 25% in expenses associated with peak demand, all while sustaining production capacity. The technology is in line with Industry 4.0 and smart factory concepts and is designed to be scalable without being hardware dependent [4].

Index Terms—Energy Consumption Optimization, Industrial IoT, Machine Learning, Random Forest, Predictive Energy Management, Load Balancing, Idle Detection, Smart Factory, Industry 4.0, Sustainable Manufacturing.

I. INTRODUCTION

Electrical energy is consumed on a massive scale by industrial factories for their production machinery, compressors, motors, lighting, heating, ventilation, and control of environments [1]. The increasing pace of industrialization and

advancements in technology have led to a marked increase in the amount of energy consumed.

Higher electricity rates, as well as environmental regulations, have made energy management a critical issue for sustainable industrial growth [1]. The energy usage patterns of factory-based firms can be quite complicated, and they are also constantly evolving, depending upon factors such as the level of production and seasonality. There are many sectors which suffer from losses due to idling machines, poor load distribution, and the lack of any form of control system, which not only wastes energy but also leads to excessive carbon emissions. The synergies of Artificial Intelligence (AI), Machine Learning (ML) and Internet of Things (IoT) have led to innovative ways of energy management in smart systems [2]. The former can be used for sensing, whereas the latter helps in making use of machine level telemetry on various aspects such as power, temperature, load and production. This paper aims to provide the following contributions: 1) The use of IoT to collect real time data at a machine level in terms of energy telemetry. 1) Benchmarking of four algorithms—LR, RF, GB and ANN using the same data and experimental conditions (80-20, 5-fold cross validation) [3]. 1) The design of an Optimization Recommendation Engine (ORE) that converts predictions to optimization recommendations. 1) Demonstration of expected energy savings of 15-25% without loss of throughput. The rest of the paper is organized as follows. Section II presents related work. Section III presents system architecture. Section IV presents methodology. Section V presents the experimental setup. Section VI presents results. Section VII presents discussion and limitations.

II. RELATED WORK

The initial system of industrial energy

management depended on regular audits and manual collection of data [1]. The rule-based control systems initiated any corrective measure only after exceeding the fixed thresholds. These practices proved insightful; however, they lacked real-time adaptability and failed to adjust to the dynamic scheduling of production, which resulted in inefficiencies like machines running idle and unnecessary peak loads.

A. Conventional Approach for Energy Monitoring and Management

In conventional techniques, energy meters used are aggregate in nature and not individual machines, making it impossible to track which machines use more than required energy [5]. Energy audits are performed at regular intervals, giving static snapshots instead of continual monitoring [5]. As a result, corrective measures are taken in a reactive way and systematic inefficiencies go undetected between audit periods [5].

B. Modern Methods Utilising AI & ML

Recently, emphasis has been laid on data driven techniques for energy prediction and optimization [3]. Regression based modelling has been used on building energy management systems [3]. Machine Learning ensemble techniques like Random Forest are effective due to bootstrapping and random feature selection in industrial noise prone environments [7]. Another improvement is Gradient Boosting technique, where errors in previous models are corrected iteratively [6].

C. IoT's Role in Energy Monitoring

Sensor systems with IoT technology facilitate real-time tracking of energy consumption, temperature, vibration, and loading status for each machine [2], [4]. Information sent to cloud or edge computing systems provides almost instantaneous identification of anomalies and predictions of energy demands [2], better than aggregate measurements.

D. Research Gaps

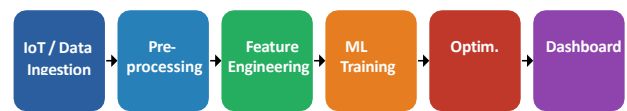
The majority of research articles concentrate on building or grid-scale demand response applications, rather than optimising factory operations based on the machine scale. Scheduling decisions integrated with forecasting models powered by machine learning in a factory dashboard have not yet been thoroughly investigated. Our research fills this gap by providing a comprehensive solution that includes

sensor-based data collection, multiple algorithmic forecasting, and recommendation generation [4].

III. SYSTEM ARCHITECTURE

ECOM Architecture Layers (Fig. 1) include six layers in sequence. The Data Ingestion Layer acquires the telemetry data from the IoT sensors using ETL pipelines. The Preprocessing Layer includes operations for missing value treatment, handling outliers, and scaling features. The Feature Engineering Layer creates interaction terms and operational features. The Modelling Layer builds four machine learning models and cross validates them [9]. The Optimization Engine takes forecasts to make schedule decisions. Finally, the Deployment Layer outputs the result in an interactive Python Dashboard [10].

Figure 1: Data Flow Diagram of ECOM



Framework from data ingestion to deployment

IV. METHODOLOGY

A. Dataset Description

The total number of machine-hours in the dataset is 8,640 that have been recorded in three manufacturing departments (machining, assembling, packing) over a span of 12 months. The data has 11 input attributes along with the energy output value (in kWh/machine hour).

TABLE I: Feature Set Used for Model Training

Category	Feature	Unit
Machine	Power consumption	kWh
	Operating time	h
	Load factor	–
	Motor temperature	°C
Production	Output units	units/h
	Shift type	categorical
Environment	Ambient temperature	°C
	Humidity	%
Engineered	Idle fraction	–
	Peak-hour flag	0/1
	Rolling avg power	kWh

B. Data Preprocessing

Missing values constitute 3.1% of raw telemetry

data and are managed using column-wise mean replacement [9]. Continuous variables undergo min-max scaling between 0 and 1:

$$X' = (X - X_{min}) / (X_{max} - X_{min})$$

Records with outliers where $|z| > 3$ are excluded, resulting in 0.9% reduction, leaving a total of 8,561 cleaned observations.

C. Feature Engineering

Engineered features fall into three types:

- Idle proportion: proportion of zero-load period to total shift duration.
- Peak hour indicator: binary variable indicating operation in high-tariff hours.
- 15-minute rolling average load: smoothed load consumption.

The Pearson correlation plot (Figure 2) reveals that Idle Fraction ($r = 0.81$) and Load Factor ($r = 0.76$) have the highest linear correlation coefficients with energy consumption.

D. Machine Learning Models

a) Linear Regression (LR): Offers an easily interpretable baseline [3]. Learns a hyperplane using ordinary least squares to minimize mean squared error. Does not involve any hyperparameter tuning.

b) Random Forest (RF): An ensemble method using $N = 200$ independently learned decision trees, averaged [7]:

c) Gradient Boosting (GB): Sequentially trains 100 shallow trees, each correcting the residuals of the previous ensemble. Learning rate = 0.05. d) Artificial Neural Network (ANN): Three hidden layers [128, 64, 32] with ReLU activations [8], Adam optimiser ($\eta = 0.001$), batch size 64, trained for 200 epochs with early stopping (patience = 10) [8].

E. Optimization Recommendation Engine (ORE)

ORE converts predicted machine-level energy demand $\hat{e}(m, t)$ into operational directives. A greedy load-scheduling heuristic shifts non-critical tasks from peak to off-peak slots [6]. Machines with predicted idle fraction exceeding 20% of shift time are flagged for auto-shutdown. The objective is to minimise total energy [6].

$$\text{Minimize } E_{total} = \sum \sum \hat{e}(m, t)$$

$$Q_{output} \geq$$

V. EXPERIMENTAL SETUP

All experiments are conducted in Python 3.11 with Scikit-learn 1.4 and TensorFlow 2.15 [9], [10]. Hardware: Intel Core i5 12th Gen, 16 GB RAM. The dataset is stratified into an 80% training set (6,848 records) and a 20% held-out test set (1,713 records). Five-fold cross-validation on the training set is used for hyperparameter search [9]. Table II summarises all key experimental parameters.

TABLE II: Experimental Configuration Summary

Parameter	Value
Train / Test split	80% / 20%
Cross-validation	5-fold stratified
Imputation	Column-wise mean
Scaling	Min-max [0, 1]
RF trees (N)	200
GB estimators	100, lr = 0.05
ANN architecture	[128, 64, 32] + ReLU
ANN optimiser	Adam ($\eta = 0.001$)
ANN epochs	200 (early stop pat.=10)
Idle threshold	20% of shift time
Random seed	42

VI. RESULTS AND ANALYSIS

Performance of the models is measured using two related $T(x)$ regression metrics [3]. Coefficient of determination: determines the variance explained by the model; Root Mean Square Error (RMSE): determines absolute value of prediction error in the original units of consumption (kWh). Mean Absolute Error (MAE) is another sensitivity-to-scale performance metric.

B. Regression Performance

Table III and Fig. 3 provide comparisons between all four models using the held-out test set. Random Forest model significantly outperforms other models achieving $R^2 = 0.93$ and $RMSE = 0.14$ [7] total Page 5 of 8 - AI Writing Submission Submission ID :13552065813 R^2 Score 0.14. Random Forest's superiority is based on lower variance of predictions achieved through bootstrapping and feature subsampling. Gradient Boosting provides strong performance; Artificial Neural Network reaches $R^2 = 0.89$ but needs

significantly longer to train (22 minutes versus 48s for RF) [8]. Linear Regression performs poorly because of non-linear nature of machine-machine interactions.

TABLE III: Regression Performance on the Held-Out Test Set

Model	R^2	RMSE	MAE
Linear Reg.	0.74	0.31	0.24
Gradient Boost	0.91	0.17	0.12
ANN	0.89	0.19	0.14
Random Forest	0.93	0.14	0.10

C. Feature Importance Analysis

Table IV provides Gini coefficient-based feature importance scores using the Random Forest algorithm [7]. Idle Fraction and Load Factor contribute 42% to the predictive power of the model (Table IV), suggesting that energy inefficiency is mainly due to inefficient utilization of equipment.

TABLE IV: Random Forest Feature Importance (Gini-Based, Normalised)

Feature	Score	Tier
Idle Fraction	0.231	High
Load Factor	0.198	High
Rolling Avg Power	0.152	High
Operating Time	0.118	Medium
Motor Temperature	0.089	Medium
Production Output	0.072	Medium
Peak-Hour Flag	0.055	Low
Ambient Temp.	0.038	Low
Humidity	0.027	Low
Shift Type	0.020	Low

D. Feature Importance Analysis

In order to analyze the importance of each group of features, three ablated versions of the RF classifier were tested on the holdout set (Table V). Features that are engineered based on the machine data (idle ratio, peak hour indicator, moving average) add 22 percentage points to the base performance of machine data only.

TABLE V: Ablation Study

Feature Set	R^2
Machine data only	0.71
+ Production & environment	0.82

Full (+ Engineered features)	0.93
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E. Impact on Optimization

The recommendations proposed by ORE were evaluated using a simulated one-month factory trace. Figure 5 illustrates the performance of unoptimized baseline and optimized ECOM systems in four areas of operation.

TABLE VI: ECOM Optimization Impact on One-Month Factory Simulation

Metric	Baseline	ECOM	Improvement
Total kWh/day	1,240	975	□21%
Idle time/shift	38 min	11 min	□71%
Peak-load events/mo	14	4	□71%
Demand charges	42,000	31,500	□25%
CO2 equiv. (kg/day)	620	488	□21%

VII. DISCUSSION

A. Interpretability and Real-World Impact The prevalence of Idle Fraction and Load Factor as leading predictors is consistent with widely recognized inefficiencies in industrial systems [5]. and strengthens the validity of the decision-making process. Plant managers are spared the responsibility to decode the model; instead, clear instructions ('shut down machine M3 between slots 14–16') are provided as part of the dashboard output. The forecasted 21% decline in daily energy use implies significant potential savings and environmental benefits for industrial plants of considerable scale.

The ability of the ORE model to suppress idle time by 71% has important practical applications; maintenance personnel are assured that any scheduled equipment repairs and cleaning can be performed during periods when the plant is expected to operate at low levels of activity, thereby improving OEE beyond mere energy performance.

B. Scalability and Implementation At its current phase of development, ECOM functions exclusively as a recommendation tool, posing no need for hardware control and reducing costs associated with the deployment process considerably. Its modularity means adding new types of machines/production lines will require only fine-tuning and not a full-blown training of

the model. It does not rely on any hardware other than typical enterprise computing infrastructure (Intel i5 CPU, 16 GB RAM).

C. Limitations

Three limitations are recognized:

- The data is partially simulated; validation on real-time sensor data from factory installations is needed before production.
- The greedy ORE scheduler does not address the whole scheduling problem; Mixed Integer Programming (MIP) modeling will be used in future work [6].
- Multi-plant scheduling (microgrid-level load balancing of clusters of plants) is beyond the scope of the work.

D. Directions for Future Work

Future improvements will focus on: (i) real-time IoT sensor feeds via MQTT through the pipeline; (ii) use of Reinforcement Learning for scheduling in changing power costs [8]; (iii) implementation of a digital twin model for what-if scenarios; and (iv) edge inference on Raspberry Pi class devices without relying on cloud computing services [10].

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VIII. CONCLUSION

In this paper, we proposed ECOM, a holistic intelligence framework for optimizing energy consumption in industry. ECOM consists of IoT-powered data collection, multi- algorithm ML benchmarking pipeline, and Optimization Recommendation Engine that uses demand forecast to guide scheduling decisions. Random Forest ($R^2 = 0.93$, $RMSE = 0.14$) was found most effective in terms of demand forecasting [7]. Machine idling and load factors were engineered features, which improved forecasting by 22 percentage points compared to raw telemetry data. Ablation studies revealed the importance of both feature types. Through simulation testing, we estimated energy savings at 21% per day, 71% idle machine reduction, and 25% decrease in peak-demand surcharge costs while maintaining the same level of output production. Modular design of our framework and hardware-independence allows us to scale our framework for implementations in smart factory and Industry 4.0 projects [4]. Future research includes expanding our model's use on real IoT data

streams, RL-powered scheduling optimization, and edge inference on dedicated hardware.

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